

May 14, 2026

Subject: Management's Discussion and Analysis of the consolidated financial statements
for the first quarter ("1Q26") and three-month period ended 31 March 2026

To: Directors and Managers
The Stock Exchange of Thailand

Overview of the Private Hospital Business and Industry for 1Q 2026

The first quarter of 2026 was a challenging period for the private hospital industry overall, driven by external factors affecting both operating costs and consumer purchasing power. In particular, escalating tensions between the United States and Iran in late February 2026 caused global crude oil prices to surge to approximately USD 110 per barrel. This development is expected to lead to an increase in the fuel tariff (Ft) in the subsequent period, directly impacting hospital operators whose services require continuous 24-hour energy consumption. In addition, the cost of imported pharmaceuticals and medical supplies came under pressure from rising energy prices, higher international transportation costs, and supply chain disruptions in certain regions.

On the revenue side, the rising cost of living, driven by higher energy prices, significantly weakened domestic consumer purchasing power. As a result, self-paying patients began postponing or delaying non-urgent medical treatments. Meanwhile, revenue from international patients, particularly those from the Middle East, started to be affected by economic and geopolitical uncertainties. Revenue from Social Security Scheme patients has remained relatively stable to date; however, should the situation persist and adversely impact employment levels in the future, the number of insured persons and the corporate welfare customer base could also be affected.

Nevertheless, despite facing challenging business conditions arising from energy price volatility and the uncertain global economic environment, the Company continued to demonstrate strong adaptability and operational resilience through effective cost management, prudent expense control, and the maintenance of high-quality healthcare services. As a result, the Company was still able to deliver outstanding profit growth compared with the overall industry performance during the same period.

Factors That May Affect Future Operations or Growth

1. Energy Price Volatility and Geopolitical Risks

Tensions between Iran and the United States remain a significant risk factor that could directly impact the operating costs of the hospital business, particularly the costs of pharmaceuticals, medical supplies, and medical equipment, which are closely linked to energy prices and international transportation costs. In addition, supply chain disruptions arising from such geopolitical tensions may lead to higher import costs for medical products in the future.

Nevertheless, the Company has proactively implemented long-term cost mitigation measures through the expansion of its Solar Rooftop installation projects, as well as the adoption of AI technology for hospital energy management. These initiatives are intended to improve energy efficiency and sustainably reduce risks associated with fluctuations in electricity fuel tariff rates (Ft).

2. Changes in Health Insurance Policies and Consumer Behavior

The private hospital industry has begun to face pressure from changes in health insurance policies, particularly the increasing adoption of co-payment systems, which require policyholders to bear a higher portion of medical expenses. As a result, patients have become more cautious in their healthcare spending and increasingly compare service quality and pricing among healthcare providers before making treatment decisions.

The Company recognizes opportunities arising from consumers' growing focus on "value for money in healthcare services." Accordingly, the Company has developed value-based care service packages to provide patients with appropriate options in terms of both quality and affordability. This strategy also strengthens the Company's competitiveness and enhances its ability to position the Chularat Hospital Group as the preferred healthcare provider among health insurance customers.

3. Economic Conditions and Domestic Purchasing Power

Household income growth that remains inconsistent with the rising cost of living, together with persistently high household debt levels, continues to pressure consumer purchasing power. Consequently, some patients have increasingly turned to public healthcare services instead of paying out-of-pocket for treatment at private hospitals.

Despite operating under rising cost conditions, the Company has continued to effectively manage costs and improve operational efficiency (Efficiency Gain). This is reflected in net profit growth of 9.9%, which exceeded revenue growth and resulted in the net profit margin improving from 11% to 12%. Such performance demonstrates the Company's strong ability to sustain profitability despite challenging economic conditions.

4. Price Competition and Industry-Related Risks

Although investment within the Eastern Economic Corridor (EEC) continues to expand, the global economic slowdown caused by geopolitical conflicts may adversely affect the manufacturing sector and employment levels within industrial estates. This could potentially impact the number of insured persons under the Social Security Scheme and the Company's corporate customer base in the future.

Nevertheless, despite a slowdown in revenue from general inpatient (IPD) services in line with economic conditions, the Company was able to significantly expand revenue from complex care services,

particularly in cardiology and oncology treatments. These services represent essential healthcare segments with higher treatment demand and favorable profit margins. As a result, average revenue per patient increased and effectively offset the slowdown in general patient volumes.

Management's Outlook on Future Growth

Despite ongoing uncertainties in the economic environment and global situation, the management of Chularat Hospital Group remains confident in the Company's long-term growth potential. The Company continues to focus on the following three key strategic priorities:

- Enhancing capabilities to become a tertiary specialized medical center in order to strengthen competitiveness and improve profitability;
- Leveraging technology and innovation to optimize cost management and improve operational efficiency, thereby sustaining long-term profitability; and
- Maintaining the strength of the Social Security customer base while expanding opportunities into government-related customer segments and other specialized medical service areas.

Supported by a strong financial position, with a low debt-to-equity (D/E) ratio of only 0.25x, the Company remains well-positioned to invest in business expansion, support future growth opportunities, and continuously deliver favorable returns to shareholders.

Operating Results for the First Quarter of 2026

Management's discussion and analysis of financial statement for 1Q26 ended 31 March 2026

Chularat Hospital Public Company Limited ("the Company") reported the operating performance for the 1Q26 as follows:

Statement of comprehensive income Unit : Million Baht	1Q26	1Q25	Increase (Decrease)	Change (%)
Revenues from hospital operations	2,076.4	1,987.5	88.9	4.5%
Other revenues	32.2	30.3	1.9	6.3%
Total revenues	2,108.6	2,017.8	90.8	4.5%
Cost of hospital operations	1,483.4	1,438.2	45.2	3.1%
Administrative expenses	298.4	277.0	21.4	7.7%
Net Profit of the Company	247.6	225.3	22.3	9.9%
<i>Earnings per share (Baht/share)</i>	<i>0.0225</i>	<i>0.0205</i>		
<i>Gross Profit Margin (%)</i>	<i>28.56%</i>	<i>27.64%</i>		
<i>Net Profit Margin (%)</i>	<i>12%</i>	<i>11%</i>		

The Company's net profit was Baht 247.6 million for 1Q26, increasing by Baht 22.3 million, or 9.9% YoY. Net profit margin increased from 11% to 12%. Overview of operating results was discussed as below.

Revenues from Hospital Operations

In 1Q26, the Company has revenues from hospital operations of Baht 2,076.4 million, increasing by Baht 88.9 million, or 4.5% YoY.

Revenue from General Patients in 1Q26 amounted to Baht 1,324.54 million, representing an increase of Baht 32.21 million, or 2% YoY. Outpatient (OPD) revenue increased by Baht 42.74 million, or 7%, driven by higher revenue per visit resulting from a broader range of diagnostic and medical procedures provided. Meanwhile, inpatient (IPD) revenue decreased by Baht 10.53 million, or 2% YoY.

The decline in inpatient (IPD) revenue was in line with current economic conditions and the co-payment policy implemented by insurance companies, which caused some patients to postpone decisions for hospital admission, particularly for non-urgent treatments. Nevertheless, inpatient revenue continued to receive support from the increasing number of international patients compared to the previous year.

Outpatient (OPD) revenue increased due to the return of existing patients and growth in new patient volumes, together with the expansion of medical services offered. In addition, some patients opted for outpatient treatment instead of hospitalization in order to better manage healthcare expenses.

Revenue from Social Security Scheme in 1Q26 increased by 4% YoY. The growth was supported by an increase in the number of insured persons, together with higher revenue generated from specialized medical services, including bariatric surgery, Heart Center services, and Cancer Center services. The increase in patient volumes and the higher complexity of treatments contributed to higher revenue per patient.

Revenue from Other Governmental Schemes in 1Q26 increased by 35% YoY. The growth was mainly driven by higher revenue from specialized medical services, particularly from the Heart Center and Cancer Center, as well as increased revenue from the Universal Coverage for Emergency Patients (UCEP) program. As a result, revenue from other governmental schemes recorded significant growth during the period.

Unit: Million Baht	1Q26	1Q25	Increase (Decrease)	Change (%)
Revenue from general patients	1,324.54	1,292.33	32.21	2%
Revenue from outpatients (OPD)	666.41	623.66	42.74	7%
Revenue from inpatients (IPD)	658.14	668.67	(10.53)	(2%)
Revenue from government welfare programs	751.82	695.20	56.62	8%
Social security schemes	629.96	604.81	25.15	4%
Other governmental schemes	121.86	90.39	31.47	35%
Total revenue from hospital operations	2,076.36	1,987.53	88.83	4%

Cost of Hospital Operations

Cost of hospital operations in 1Q26 amounted to Baht 1,483.4 million, representing an increase of Baht 45.2 million, or 3.1% YoY. The increase was in line with the growth in medical service revenue, particularly from higher patient volumes and the expansion of more complex medical treatments. Nevertheless, the hospital continued to emphasize effective cost management across key areas, including pharmaceuticals and medical supplies, physician fees, workforce management, and staff scheduling aligned with actual patient volumes. As a result, operating costs increased at a lower rate than revenue growth.

Administrative Expenses

Administrative expenses in 1Q26 amounted to Baht 298.4 million, increasing by Baht 21.4 million, or 7.7% YoY. The increase was primarily attributable to higher personnel expenses resulting from annual salary adjustments. In addition, commission expenses increased in line with revenue growth, while marketing expenses were expanded to support the growth of the patient base. General operating expenses also increased in accordance with the expansion of medical services and the development of specialized medical centers.

Statement of financial position	31 March	31 December	Increase	Change
Unit : Million Baht	2026	2025	(Decrease)	(%)
Total assets	10,607	10,239	368	3.59%
Total liabilities	2,095	1,979	116	5.86%
Shareholders' equity	8,512	8,260	252	3.05%
Debt to equity ratio (x)	0.25	0.24		

As of March 31, 2026, the Company has **total assets** of Baht 10,607 million, increased by Baht 368 million from December 31, 2025, primarily due to

- Cash and cash equivalents increased by Baht 61 million, primarily supported by operating cash flows generated by the Group, as detailed in the statement of cash flows.
- Trade and other current receivables increased by Baht 23 million, while Accrued medical treatment income increased by Baht 106 million, mainly driven by higher medical service revenue, together with the timing of collections in accordance with billing cycles.
- Property, plant and equipment increased by Baht 65 million, primarily from investments in medical equipment and the expansion of hospital facilities.
- Other non-current assets increased by Baht 85 million, mainly due to advance payments made to contractors for construction projects.

Total liabilities amounting to Baht 2,095 million as of March 31, 2026, increasing by Baht 116 million from December 31, 2025, as described below.

- Trade and other payables increased by Baht 88 million.
- Long-term loans from financial institutions decreased by Baht 9 million, mainly due to scheduled loan repayments.

Total shareholders' equity amounting to Baht 8,512 million as of March 31, 2026, increasing by Baht 252 million from December 31, 2025 is in line with the operating result of the Company.

Debt to equity ratio (DE Ratio) stood at 0.25x, remaining at a low level. This reflects the Group's strong financial position and substantial capacity to undertake additional borrowing to support future business expansion in line with the Company's strategic growth plan.

Cash Flow Statement Unit : Million Baht	1Q26	1Q25	Change
Net cash from operating activities	244	391	(147)
Net cash used in investing activities	(153)	(108)	(45)
Net cash used in financing activities	(29)	(36)	7
Net increase (decrease) in cash and cash equivalents	62	247	(185)
Cash and cash equivalents at beginning of period	1,768	1,691	77
Cash and cash equivalents at end of period	1,830	1,938	(108)

In 1Q26, the Company generated net cash flows from operating activities of Baht 244 million, decreasing from Baht 391 million in the previous year. Although operating profit increased, cash flows from operating activities declined mainly due to changes in certain working capital items, particularly higher accrued medical treatment income, which was in line with revenue growth and the timing of collections, as well as an increase in other non-current assets resulting from advance payments for construction projects. Nevertheless, the increase in trade payables partially supported the Company's operating liquidity during the period.

For investing activities, the Company recorded net cash outflows of Baht 153 million in 1Q26, increasing from Baht 108 million in the previous year. The cash outflows were primarily attributable to advance payments for building construction and medical equipment, as well as expenditures for the acquisition of land, buildings, and equipment to support the Company's expansion and the enhancement of its healthcare service capabilities.

For financing activities, the Company recorded net cash outflows of Baht 29 million in 1Q26, decreasing from Baht 36 million in the previous year. The decrease was mainly attributable to repayments of long-term borrowings, lease liabilities, and higher interest payments.

Please be informed accordingly.

Yours faithfully,

(Mr.Kriengsak Plussind)

Chairman of the Board